

Oxford Cambridge and RSA

Practice Paper – AS Level in Economics

H060/02 Macroeconomics (Hard Level)

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator

Centre number	
Candidate number	
First name(s)	
Last name	

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer all the questions in Section A and Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 60.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document is a practice paper at Hard level, based on the OCR H060/02 specification.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions in this section.

Each question is worth 1 mark.

1. Cost-push inflation is most likely to be caused by:

- A a rise in consumer confidence and spending
- B a sustained increase in the money supply
- C an increase in the world price of oil
- D a fall in the rate of interest

Your answer [] [1]

2. Which of the following is a direct tax?

- A Excise duty on alcohol
- B Value Added Tax
- C Corporation tax
- D Customs duty on imports

Your answer [] [1]

3. An increase in the money supply, with all else equal, is most likely to cause in the long run:

- A a fall in the general price level
- B a permanent rise in real output
- C a rise in the general price level
- D a fall in nominal GDP

Your answer [] [1]

4. Which of the following would be recorded in the capital account of the UK balance of payments?

- A The export of British-made cars to Germany
- B Dividends earned by UK shareholders on overseas investments
- C A transfer of debt forgiveness from the UK to a developing country
- D Foreign direct investment by a UK firm in the United States

Your answer [] [1]

5. Imported inflation is most likely to occur when:

- A the domestic currency appreciates strongly
- B the country runs a current account surplus
- C the domestic currency depreciates and the country imports many essentials
- D domestic productivity rises faster than wages

Your answer [] [1]

6. In a country, income up to £12 500 is tax-free; income from £12 501 to £50 000 is taxed at 20%; income from £50 001 to £150 000 is taxed at 40%; income above £150 000 is taxed at 45%.

A worker earns £200 000. What is their average rate of income tax?

- A 19.2%
- B 32.5%
- C 35.0%
- D 45.0%

Your answer [] [1]

7. Nominal GDP rose from \$500 billion in Year 1 to \$600 billion in Year 5. Over the same period the GDP deflator rose from 100 to 120 and the population grew from 50 million to 60 million.

What is the percentage change in real GDP per capita over the period?

- A -16.7%
- B 0.0%
- C +16.7%
- D +20.0%

Your answer [] [1]

8. Which of the following is most likely to cause stagflation?

- A A boom in business investment
- B A large rise in world oil prices for an oil-importing country
- C A cut in income tax rates
- D An increase in net exports

Your answer [] [1]

9. A UK exporter sells \$50 000 of services to a US firm. The exporter receives the \$50 000 and converts it into pounds at £1 = \$1.25, paying a 1% bank conversion fee.

How many pounds does the exporter receive after the fee?

- A £39 600
- B £40 000
- C £49 500
- D £50 500

Your answer [] [1]

10. A tax system in which both low- and high-income earners pay the same proportion of their income in tax is best described as:

- A progressive
- B regressive
- C proportional
- D indirect

Your answer [] [1]

11. If the marginal propensity to save is 0.2, the marginal propensity to tax is 0.2, and the marginal propensity to import is 0.1, what is the value of the multiplier?

- A 1.0
- B 1.5
- C 2.0
- D 5.0

Your answer [] [1]

12. If a central bank sells government bonds on the open market, which of the following is most likely?

- A An increase in the money supply and a fall in interest rates
- B A decrease in the money supply and a rise in interest rates
- C An increase in the money supply and a rise in interest rates
- D No change in the money supply or interest rates

Your answer [] [1]

13. Which of the following is most clearly a supply-side policy?

- A A reduction in income tax rates designed to boost spending
- B An increase in the central bank's main interest rate
- C Investment in apprenticeship and training programmes
- D Higher government welfare payments

Your answer [] [1]

14. The CPI for a country in three consecutive years is shown.

Year 1: 100.0 Year 2: 108.0 Year 3: 114.5

A pensioner's nominal income rose from £18 000 in Year 1 to £20 000 in Year 3.

What has happened to the pensioner's real income?

- A It has risen by approximately 14.5%
- B It has risen by approximately 11.1%
- C It is approximately unchanged
- D It has fallen by approximately 2.9%

Your answer [] [1]

15. A country's balance of payments shows (\$m):

Current account: -£70 000 Financial account: +£62 000

Net errors and omissions: +£12 000

What is the value of the capital account?

- A -£4 000m
- B +£4 000m
- C +£20 000m
- D -£20 000m

Your answer [] [1]

SECTION B

Answer all the questions in this section.

Argentina's Economic Crisis

Argentina, once one of the wealthiest countries in the world, has faced repeated economic crises over the past century. The most recent crisis, deepening from 2018 onwards, has led to high inflation, currency collapse and rising poverty.

Annual inflation reached 133.5% in 2023, the highest level since the hyperinflation of the early 1990s. The Argentine peso has lost over 95% of its value against the US dollar since 2017. The official exchange rate moved from about 17 pesos per US dollar in 2017 to 360 pesos per US dollar by the end of 2023.

The poverty rate has risen sharply, with around 40% of Argentines living below the official poverty line in 2023, up from 26% in 2017. Child poverty exceeds 50%. Real wages have fallen by more than 30% since 2017.

The government has accumulated very large debts. Argentina has defaulted on its sovereign debt several times. In 2022, the IMF approved a new \$44 billion lending programme. Net foreign currency reserves at the central bank fell to dangerously low levels, estimated at less than \$5 billion in 2023.

Official unemployment remains at around 6.9%, but underemployment is estimated at 11.5%. The informal sector accounts for around 47% of total employment, where workers have no formal legal protection or benefits.

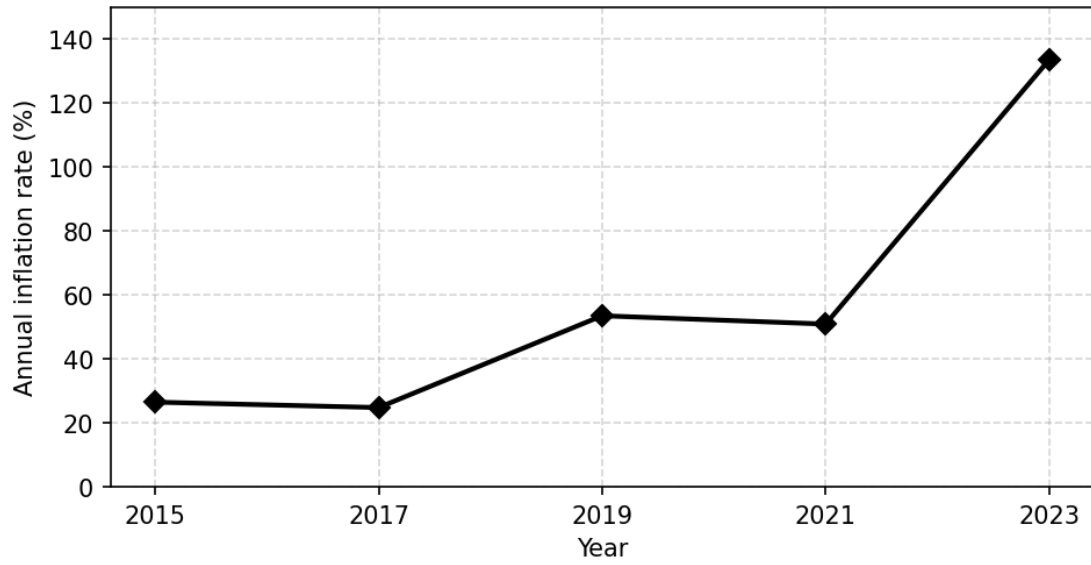
The government has imposed strict capital controls and import quotas in order to preserve scarce foreign reserves. Multiple exchange rates now operate in Argentina: an official rate, a parallel 'blue dollar' rate and various sector-specific rates.

The fiscal deficit reached 5.5% of GDP in 2023. Tax revenue covers only around 75% of government spending, with the gap funded by money printing and borrowing. Public utility subsidies have at times represented around 3% of GDP. Some subsidies have been cut, leading to large increases in energy and transport prices for consumers.

In late 2023, a new president was elected on a platform of dollarising the economy and abolishing the central bank.

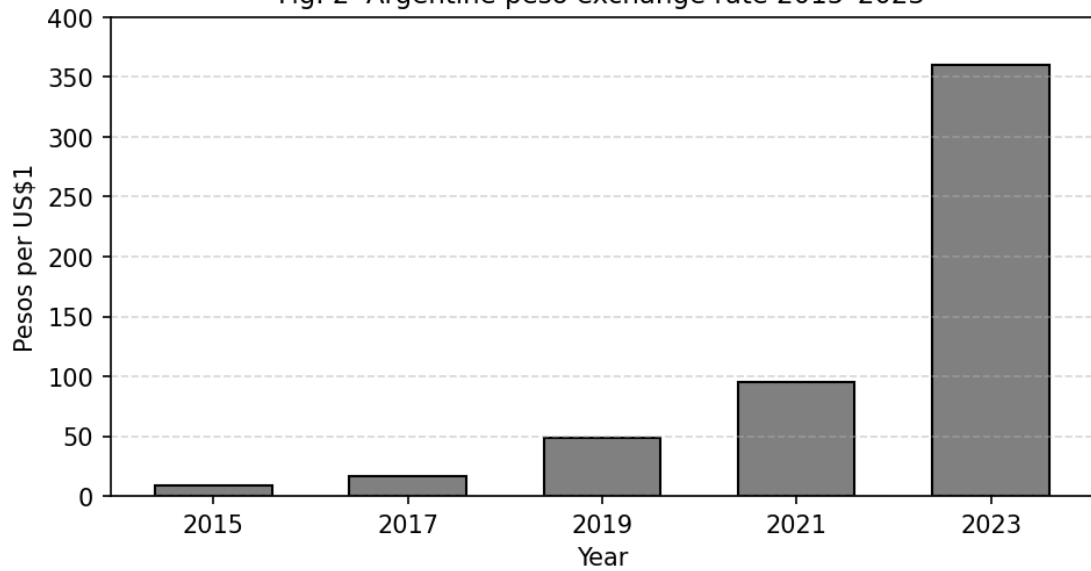
Source: Adapted from IMF country reports and Financial Times

Fig. 1 Annual inflation rate in Argentina 2015-2023



Source: INDEC (Argentina)

Fig. 2 Argentine peso exchange rate 2015-2023



Source: Central Bank of Argentina (BCRA)

Answer all parts of Question 16.

16 (a) (i)

Using Fig. 1, explain the change in the rate of inflation in Argentina between 2017 and 2023.

[2]

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16 (a) (ii)

Tax revenue covers only around 75% of government spending (lines 22–24). State why this is likely to be a cause for concern for the Argentine government.

[1]

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16 (b)

Using Fig. 2, explain what happened to the value of the Argentine peso against the US dollar between 2019 and 2023.

[2]

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16 (c)

The case study refers to large cuts in public utility subsidies, leading to higher energy and transport prices.

Using a diagram, explain the likely impact of these cuts on inflation and short-run economic growth in Argentina.

[4]

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Using information from the case study, explain possible reasons why the Argentine peso has lost more than 95% of its value against the US dollar since 2017.

[illegible]

Explain the difference between unemployment and informal employment.

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Evaluate the advantages, to an emerging economy such as Argentina, of accepting financial assistance and conditions from the IMF during an economic crisis.

[illegible]

[illegible]

SECTION C

Answer Question 17 or Question 18.

17*

Argentina's newly elected president has proposed dollarising the economy — replacing the Argentine peso with the US dollar — and abolishing the central bank.

Evaluate, using an appropriate diagram(s), the likely effects of dollarisation on the Argentine government's ability to achieve its macroeconomic objectives.

[20]

OR

18*

Argentina's fiscal deficit reached 5.5% of GDP in 2023, partly funded by money printing.

Evaluate, using an appropriate diagram(s), whether persistently large fiscal deficits should be a concern for any government.

[20]

Question No:

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END OF QUESTION PAPER